

than the entry price because if the size is right, you are much more likely to stay with a winning trade.

One of the first lessons my first boss taught me was that price is irrelevant; it is all about controlling the size of your position. On a related point, liquidity is also very important. That is why when a merger deal breaks, we cut it straight away because you get a pocket of liquidity. It may be at a much lower level, but at least you have the liquidity. If you wait, the liquidity can dry up, and you will be left with an outsized position in what has become a directional trade.

Getting the size of a position wrong is a perfect example of a common trader mistake. What other mistakes have you seen traders typically make in the course of your career?

One of the things we have seen inside First New York Securities many times is traders coming from an information-rich environment, such as a big investment bank, to a trading house and finding that the information flow is all gone. It is like trading in a vacuum for them. We have seen guys with incredibly strong reputations, who have been trading actively for years in big size, and when they come here, they find they can't make any money, and maybe they even lose a little bit. It becomes a downward spiral. They trade smaller and smaller, and every dollar they lose becomes emotionally more and more important to them. They lose all perspective. Many of these traders never had a plan; they just responded to the stimuli around them. I tell them that they need to replace the information flow they previously had. I advise them to draw up a list of 20 contacts and phone them every day.

Does that work?

Well, they don't take the advice.

What other advice do you give them?

I have been through similar situations myself. I found it was critical to find things to involve yourself in. It is a very good thing to be busy when you are a prop trader because you don't want to have too much time to stare at the screen, particularly if your style of trading is to have only a limited number of positions on at one time. Once you have your positions